

THE COMPANY

CONQUERING WITH COURAGE

Emboldened by a Sri Lankan spirit, we rise to challenge new frontiers, leaving an impactful influence on across our island and beyond

The lion, a proud symbol of Sri Lanka, is celebrated globally for its strength and bravery. At LB Finance, we carry that same pride in our heritage as we expand our values across the island and beyond. Just as a mosaic is made up of diverse elements, our offerings are a blend of varied products and services, each contributing to a greater whole.



SECTION 1

We are LB Finance 24 | Building Socio-economic Prosperity 33 | Awards and Accolades 37 | Financial Highlights 38
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WE ARE LB FINANCE

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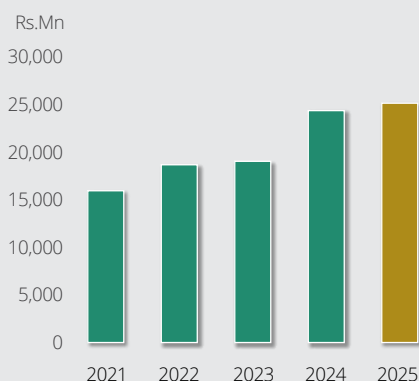
OUR PROFILE

With a track record spanning 54 years in the Sri Lankan financial service sector, LB Finance PLC is rated among the top-tier Non-Banking Financial Institutions (NBFIs). LBF was one of the financial institutions in Sri Lanka to retain its A-(lka) rating by Fitch Ratings Lanka Ltd, a fact that stands as a further testament to the strength and stability of the Company.

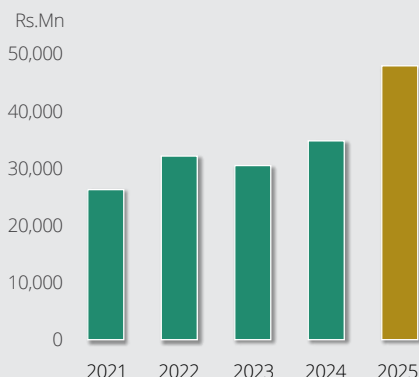
LBF has brought prosperity to people and businesses on every corner of the island for over half a century. Having earned the trust and respect of millions, LBF today is positioned as the most respected financial services provider in Sri Lanka.

Over 50 years' of providing SOLID FINANCIAL SOLUTIONS in Sri Lanka

Net Interest Income



Market Capitalisation



COST TO INCOME RATIO

32.58%

2023/24 31.12%

EMPLOYEES

4,407

2023/24 4,132



CUSTOMER BASE

850,000+

TOTAL ASSET BASE

Rs. 240.89 Bn

2023/24 Rs. 202.17 Bn

19%

DEPOSITS

Rs. 138.49 Bn

2023/24 Rs. 122.80 Bn

13%



OPERATIONS

Carbon Conscious for the
12th consecutive year

A strong, experienced and diversified Board

and a leadership team

40% Independent Non-Executive Directors

Refer pages 256 to 259



Excellent risk management and governance track record

Early Adoption of SLFRS S1 and S2:

First Finance Company in the NBFI Sector

Refer page 248

LB Finance ranked #16 among all top corporates in Sri Lanka
by Business Today



41% Net Promoter Score (NPS)
Reflects Strong Customer Satisfaction



CONSISTENT VALUE FOR CUSTOMER SATISFACTION



216
branches
island-wide

Access to the **LARGEST FINANCIAL SERVICES NETWORK** in Sri Lanka

STRONG BALANCE SHEET

to protect against downside risks

EMPLOYMENT GENERATION

A Purpose-Led Approach Partnering with Global and Local (Public and Private) Entities to Deliver Positive ESG Impacts



Industry best technology and leading digital innovations

200,000+
CIM app downloads

Refer page 73

Maintaining a **47% : 53%**

Female-Male Ratio

Demonstrating Gender Parity Within the Company



KEY ATTRIBUTES THAT GAVE LBF ITS SUSTAINABLE COMPETITIVE ADVANTAGE IN 2025

A DISTINCTIVE
ORGANISATIONAL
CULTURE THAT FOSTERS
AN INNOVATIVE,
COMMITTED,
A HIGHLY ENGAGED
AND MOTIVATED
WORKFORCE

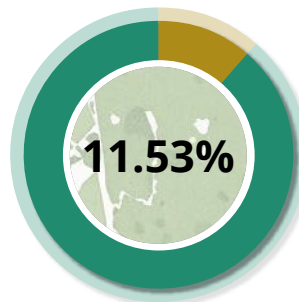
EFFECTIVE COST
OPTIMISATION STRATEGIES
TO IMPROVE
OUR OPERATING EFFICIENCY
AND PROFITABILITY RATIOS

ROBUST CUSTOMER BASE
DRIVING
STEADY AND
SUSTAINABLE REVENUE
EXPANSION

EXPERT LEADERSHIP AND
MANAGEMENT TEAM
DRIVING STRATEGIC
GROWTH AND
INDUSTRY
EXCELLENCE

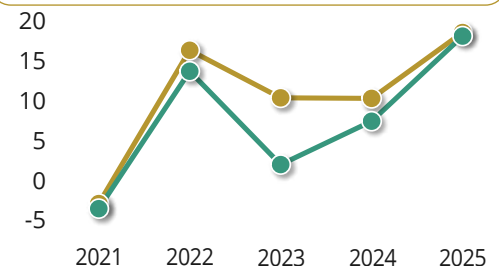
Market Share

Total Assets

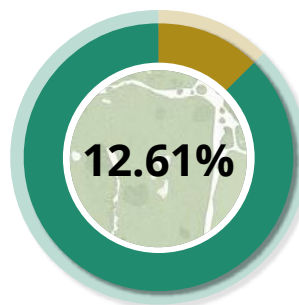


Growth Rate

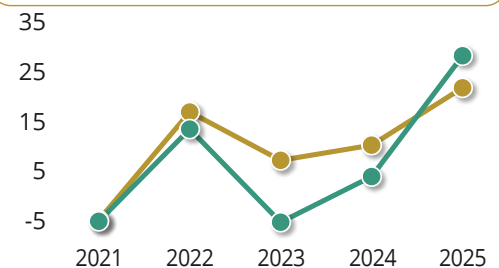
Total Assets Growth %



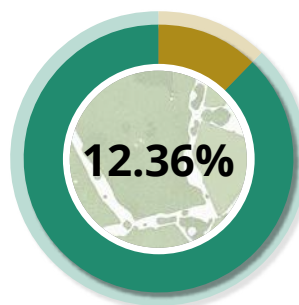
Loans & Receivables



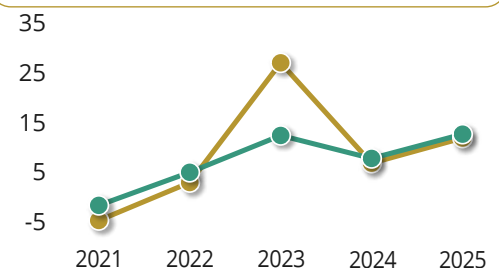
Loans & Advances Growth %



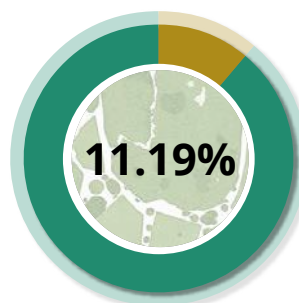
Customer Deposits



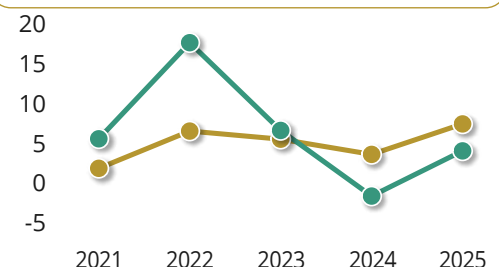
Customer Deposits Growth %



No. of Branches



No. of Branches Growth %



● LBF

● NBFI Sector

WE ARE LB FINANCE

With over half a century of experience, LB Finance PLC (LBF) remains at the forefront of Sri Lanka's financial services, consistently providing reliable solutions that empower individuals, businesses, and communities to thrive. Driven by innovation, a deep understanding of our customers, and a dedication to sustainable practices, we have become a trusted partner for millions across Sri Lanka.



1. EMPOWERING PEOPLE, FUELLING ECONOMIC GROWTH

Today, as a leading force in Sri Lanka's Non-Banking Financial Institutions (NBFI) sector, we embrace the future, spearheading digital innovation and promoting responsible financial practices.



2. OUR LEGACY - A HISTORY OF EXCELLENCE AND TRUST

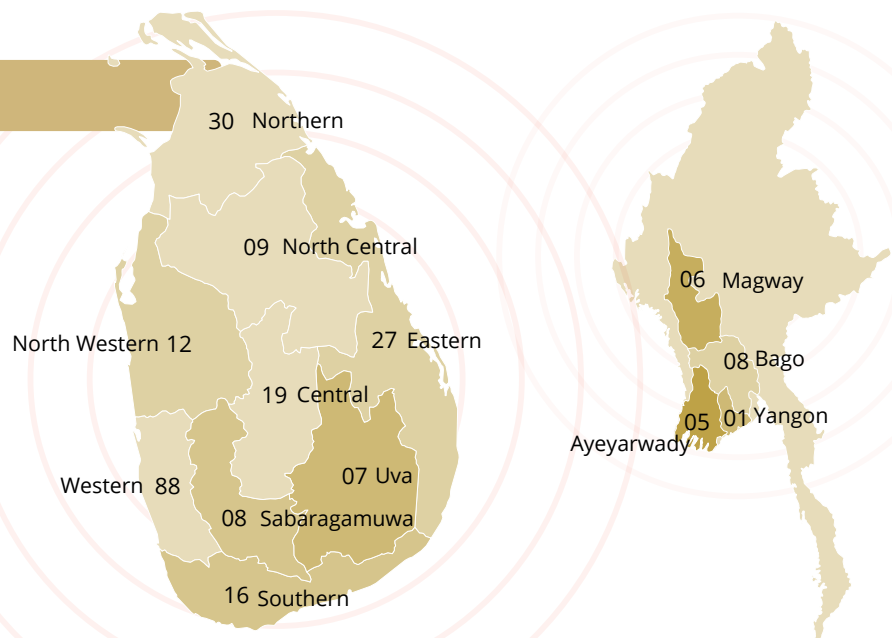
Founding and Growth

Founded in May 1971 as a private limited liability company, LBF has undergone significant transformation to become a leading NBFI in Sri Lanka. The Company became a public limited liability company in 1982 and was listed on the Colombo Stock Exchange in 1997. Key ownership transitions include Vanik Incorporation Limited taking control in 1994 and the acquisition by renowned Sri Lankan entrepreneur Mr. Dhammika Perera in 2003, incorporating LBF into the Vallibel One PLC group, a prominent local conglomerate with diverse interests. Following this, in June 2008, LBF was re-registered under the new Companies Act No. 7 of 2007.

Over the last five decades, we have played a vital role in contributing to the prosperity of individuals and businesses across the nation. With the trust and respect of many Sri Lankans, we are widely recognised as a preferred financial services provider in the Country

3. WHERE WE OPERATE

In Sri Lanka, LBF operates through an extensive network of 216 branches, offering a broad range of financial services nationwide. Its international operations are carried out through its fully owned subsidiary, LB Microfinance Myanmar, which manages 20 branches across Myanmar, demonstrating the Company's commitment to regional expansion and inclusive financial solutions.



WE ARE LB FINANCE

4. TAGS IN ACTION - DRIVING OUR FUTURE



Transparency

Transparency is the foundation of trust at LBF. We are committed to open communication with all stakeholders, providing accurate and timely information about our financial performance, operations, and corporate strategies. This commitment is demonstrated through our comprehensive disclosures, audited financial statements, and regular updates, fostering confidence and maintaining open dialogue with investors, customers, and employees.

Mr. Sumith Adhihetty | Managing Director

- LBF places a strong emphasis on transparency to foster stakeholder trust and accountability, ensuring that all disclosures are clear, consistent, and accessible
- The Company integrates financial and sustainability reporting, providing a unified and comprehensive view of long-term strategy, performance, and value creation
- Financial statements are prepared in full compliance with Sri Lanka Financial Reporting Standards (SLFRS) and Sri Lanka Accounting Standards (LKAS), guaranteeing reliability and integrity
- Independent audits by KPMG, Deloitte, and Control Union offer external assurance for both financial and non-financial disclosures, reinforcing stakeholder confidence
- Implementation of SLFRS S1 and S2 enhances the management and reporting of sustainability-related and climate-related risks and opportunities
- ESG policies, performance indicators, and sustainability initiatives are disclosed openly, showcasing LBF's commitment to responsible business practices
- Interactive digital reporting platforms provide intuitive, real-time access to performance data, empowering stakeholders with transparent insights

Accountability

Accountability is central to how we operate at LBF. We hold ourselves responsible for our actions and decisions, ensuring that we meet the expectations of our stakeholders and comply with all regulatory requirements. Our Management team adheres to rigorous standards of accountability, and we encourage a culture where every individual is responsible for their contributions, driving the Company's growth while maintaining the highest ethical standards.

Mr. Niroshan Udage | Deputy Managing Director



- LBF cultivates a culture of accountability, emphasising responsible decision-making and adherence to regulatory frameworks at every level of the organisation
- The Board of Directors holds ultimate responsibility for strategic oversight, ensuring that corporate objectives align with regulatory and ethical standards
- Board Audit and Risk Management Committees independently oversee financial reporting, internal controls, and risk governance to maintain integrity and operational accountability
- The Managing Director and Senior Management team are directly accountable for the execution of business strategies and achieving measurable outcomes aligned with performance goals
- Executive compensation is linked to performance indicators and long-term shareholder value, reinforcing responsibility and outcome-driven leadership
- A confidential Whistleblower Policy encourages employees to report unethical practices, ensuring transparency and protecting corporate integrity
- The Company maintains full compliance with directives issued by the Central Bank of Sri Lanka (CBSL), Securities and Exchange Commission (SEC), and Colombo Stock Exchange (CSE)



Governance

Good governance is a pillar of our organisational framework. We are dedicated to upholding the highest standards of corporate governance by implementing robust internal controls, risk management frameworks, and by adhering to all legal and ethical standards. Our Board of Directors ensures that we are guided by a clear vision, fostering an environment of integrity, fairness, and accountability, while ensuring the Company's long-term success and sustainability of LBF.

Mr. B D A Perera | Executive Director

- LBF operates under a robust governance framework that upholds ethical conduct, regulatory compliance, and effective risk oversight across all business functions
- A well-structured Board, comprising both executive and independent directors, provides balanced leadership and represents diverse stakeholder interests
- The Company adheres to both mandatory and voluntary governance frameworks, including the Code of Best Practice on Corporate Governance, to ensure organisational resilience
- Comprehensive risk management systems proactively identify, assess, and mitigate a wide range of risks including credit, market, operational, liquidity, and reputational risks
- Specialised committees under the Board ensure in-depth focus and strategic oversight across key areas such as audit, risk, nomination, and remuneration
- Continuous professional development and training of Board members enhance their ability to make informed decisions and navigate evolving business environments
- Ethics and Corporate Social Responsibility (CSR) are integrated into strategic planning, reinforcing responsible governance and sustainable growth
- Independent assurance mechanisms validate adherence to governance standards, further building trust among regulators, investors, and the public

Sustainability

At LBF, sustainability is integral to our business strategy. We are committed to fostering an environmentally and socially responsible approach in all our operations. By adopting sustainable practices, such as eco-friendly initiatives, community engagement, and responsible financial services, we aim to create lasting value not only for our business, but also for society and environment. We recognise that our success is deeply linked to the well-being of the communities we serve, and we continuously strive to make a positive impact for future generations.

Mr. Ravindra Yatawara | Executive Director



- The Board Sustainability Committee ensures ESG principles are aligned with corporate objectives and monitored effectively
- As Sri Lanka's first carbon-neutral finance company (achieved in 2015/16), LBF maintained carbon neutrality until 2020 and has transitioned to a carbon-conscious model from 2021
- ESG integration drives responsible lending practices, equitable social impact, and good governance, shaping the Company's approach to sustainable finance
- The Company actively promotes green financial products, including loans for electric and hybrid vehicles, solar power systems, and other renewable energy initiatives
- LBF implements impactful CSR programmes focusing on education, healthcare, infrastructure, and rural development, contributing to inclusive socioeconomic progress
- Climate-related risks and emissions are continuously monitored and disclosed in alignment with international frameworks such as TCFD, reinforcing environmental accountability
- Strategic investments in digital technology reduce paper usage and operational waste, supporting environmentally conscious business practices and customer engagement

WE ARE LB FINANCE

5. ESG IS A PART OF EVERYTHING WE DO

At LBF, we put people and purpose at the forefront, integrating ESG principles into our DNA.

We believe that embedding ESG considerations into every aspect of our business enhances our long-term sustainability, promotes transparency, and fosters accountability. ESG factors are central to our strategic decisions and operational plans, with our

ESG Policy guiding the allocation of capital towards projects with positive environmental and social outcomes. We are dedicated to expanding our environmental and social objectives, aligning our business strategy with the UN Sustainable Development Goals (SDGs) and the 10 Principles of the UN Global Compact (UNGC) to create lasting value for our stakeholders and the communities we serve.



6. OUR STRATEGIC PRIORITIES

Sustainable Growth

Prioritise sustainable investments and financing solutions that support long-term environmental and social goals. By aligning with global ESG standards and integrating sustainability into business practices, LBF can contribute to national development while appealing to eco-conscious investors.



Customer Centricity

Customer centricity drives our mission to deliver exceptional value to our customers. We prioritise understanding their evolving needs and continuously enhance our products, services, and customer experiences. This approach ensures strong, long-lasting relationships and fosters trust and loyalty in the markets we serve.

Digital Leadership

As digital transformation accelerates, LBF is committed to embracing technology to stay ahead. We leverage advanced tools and data analytics to optimise operations, enhance customer engagement, and drive innovation. Our focus on digital leadership enables us to offer cutting-edge solutions and stay competitive in an increasingly digital world.

Positive Impacts

At LBF, we are dedicated to creating positive impacts for society and the environment. This strategy emphasises our commitment to Corporate Social Responsibility, ethical practices, and supporting initiatives that foster community development. Our actions are aligned with making meaningful contributions to global sustainability and social welfare.

Empowering People

Empowering people is the core of LBF's success. We invest in talent development, fostering a culture of inclusivity, and providing employees with the tools and opportunities to thrive. By nurturing a supportive environment, we enable our teams to reach their full potential and contribute to the Company's overall growth and success.



Risk and Governance

Effective risk management and governance are fundamental to LBF's strategy. We adopt a proactive approach to identify, assess, and mitigate risks across our operations, ensuring the protection of our assets and stakeholders. Robust governance structures guide our decision-making processes, ensuring compliance, transparency, and ethical business conduct.

7. OUR INVESTMENT CASE



We identify new opportunities to adapt and evolve our business models, deepening vertical integration and expanding into market segments and new geographic markets to grow our earnings base



We are committed to delivering shared value outcomes for our stakeholders by consistently generating strong returns for shareholders and driving the development of our industries, all while creating net positive socio-economic returns with sustainable benefits



We leverage data, technology and processing capabilities to gain distinct competitive advantages and we invest in a diverse range of high-potential digital businesses strategically positioned in defensive market sectors with historically low levels of stakeholder trust



We mobilise an optimal balance of equity and debt capital to fund the growth of our business platforms and their underlying assets



We prioritise good governance practices and risk management to enhance our reputation as a trusted business and social partner and support market formalisation



Our business models are designed to adapt and evolve as we identify opportunities to accelerate growth



We build our business platforms to develop unique value propositions, resulting in diversified and resilient revenue streams

8. OWNERSHIP STRUCTURE



26.07%

Vallibel | ONE

51.75%

Other Shareholders

22.18%



LB MICROFINANCE MYANMAR

100%

WE ARE LB FINANCE

9. TRAILING SUCCESS – OUR COMPETITIVE EDGE



Strong Financial Performance and Stability

We demonstrate strong financial health, as evidenced by our consistent growth in assets, profitability, and a robust balance sheet. This solid financial foundation enables us to effectively navigate economic fluctuations while seizing opportunities for future growth. As the 2nd largest financial institution in the Non-Banking Financial Institution (NBFI) sector in Sri Lanka, we lead in assets, loans, and deposits. Additionally, we are proud to be the highest taxpayer in the NBFI sector, reflecting our commitment to contributing to the nation's development and economic stability.



Comprehensive and Diverse Financial Products

We expand our market reach by offering a comprehensive suite of financial services, encompassing Leasing, Loans, Gold Loans, and diverse Savings products designed to meet the varied financial needs of our customers.



Strong Brand Reputation and Customer Trust

Our commitment to reliability and trustworthiness has fostered strong customer loyalty and a continually expanding customer base, built on long-term relationships. This dedication to excellence has earned us recognition as the best financial institution in the country by LMD Brand Finance. These accolades are a testament to the trust and confidence our customers place in us, as we continue to uphold our reputation for delivering exceptional value and service.



Innovative Digital Transformation

As a leader in digital innovation within the NBFI sector, we are transforming customer experiences and streamlining operations by embracing cutting-edge technologies. We are pioneering digital banking solutions that offer advanced, user-friendly mobile financial, digital financial services, and AI-driven financial services, all designed to meet the evolving needs of our customers. Our commitment to delivering exceptional digital experiences is reflected in the 4.4 star rating by users and the 3+ rating of our LB CIM app, demonstrating the high level of satisfaction and trust our customers have in our digital offerings.



Commitment to Sustainability and Reporting Excellence

We are a leader in sustainability reporting, utilising industry-specific SASB standards and globally recognised sustainability frameworks to ensure transparent and responsible disclosure. This commitment highlights our dedication to both financial and environmental sustainability for the long term. LBF became the first carbon neutral finance company in Sri Lanka in 2015/16 and maintained this status until 2020/21. From 2021/22 onward, the Company transitioned to operating as a carbon conscious organisation, reflecting its continued commitment to environmental sustainability. Our dedicated portfolio of green financing products and initiatives supports renewable energy and environmentally friendly projects, contributing to a more sustainable future. Beyond business operations, we were the first financial institution to conduct a climate awareness programme in schools, promoting environmental consciousness among the next generation. Additionally, as a proud Sri Lankan company, we are actively involved in Climate Resilience through our ESG Policy, reinforcing our commitment to sustainable practices and the well-being of our communities.



BUILDING SOCIO-ECONOMIC PROSPERITY

GRI: 203-2

REDEFINING GROWTH, EMPOWERING COMMUNITIES, TRANSFORMING LIVES

For over 54 years, LBF has been a driving force in Sri Lanka's economic and social progress. We have fostered job creation, broadened financial inclusion, spearheaded innovation, and empowered communities, reshaping the financial landscape for individuals and businesses alike.

Looking at 2024/25, our commitment to inclusive financial growth remains steadfast. We will expand access through branch networks and digital platforms, empower women entrepreneurs, and strengthen foreign exchange accessibility, continuing to contribute to Sri Lanka's evolving economy.



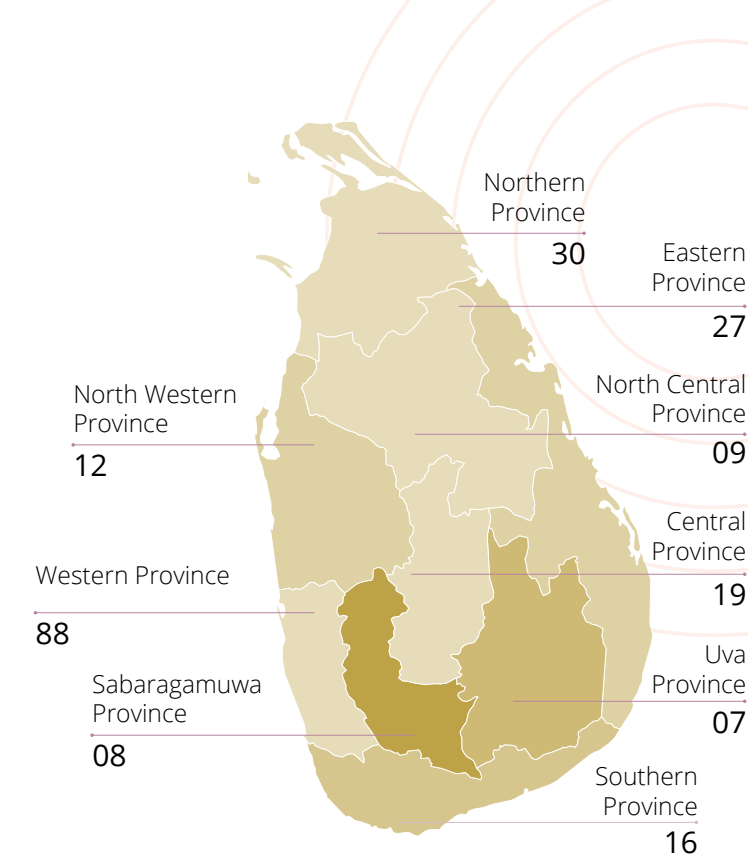
EXPANDING ECONOMIC HORIZONS

A thriving economy is built on equal access to financial opportunities. At LBF, we have taken significant steps to bridge financial gaps, by providing crucial financial backing to rural communities, small businesses, and emerging entrepreneurs, enabling their growth and success.

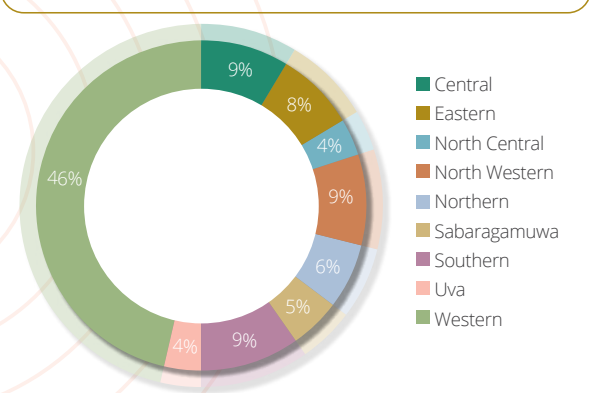
Financial Inclusiveness Through Branch Expansion

Our commitment is to reach every Sri Lankan with essential financial services. In 2024/25, we demonstrated this commitment by launching 10 new branches, including 03 strategically placed in North and East areas, extending affordable and reliable access to those communities.

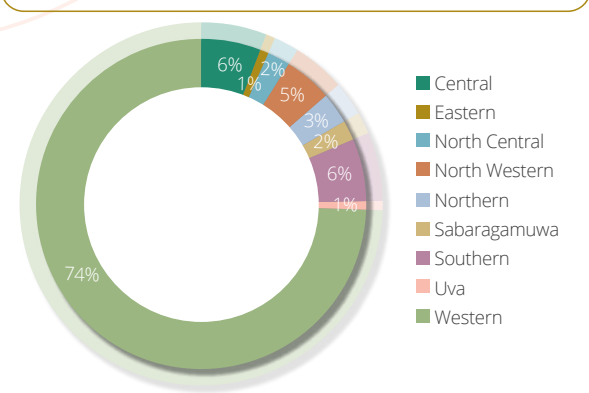
Provincial Distribution of Branches



Provincial Distribution of Loans



Provincial Distribution of Deposits

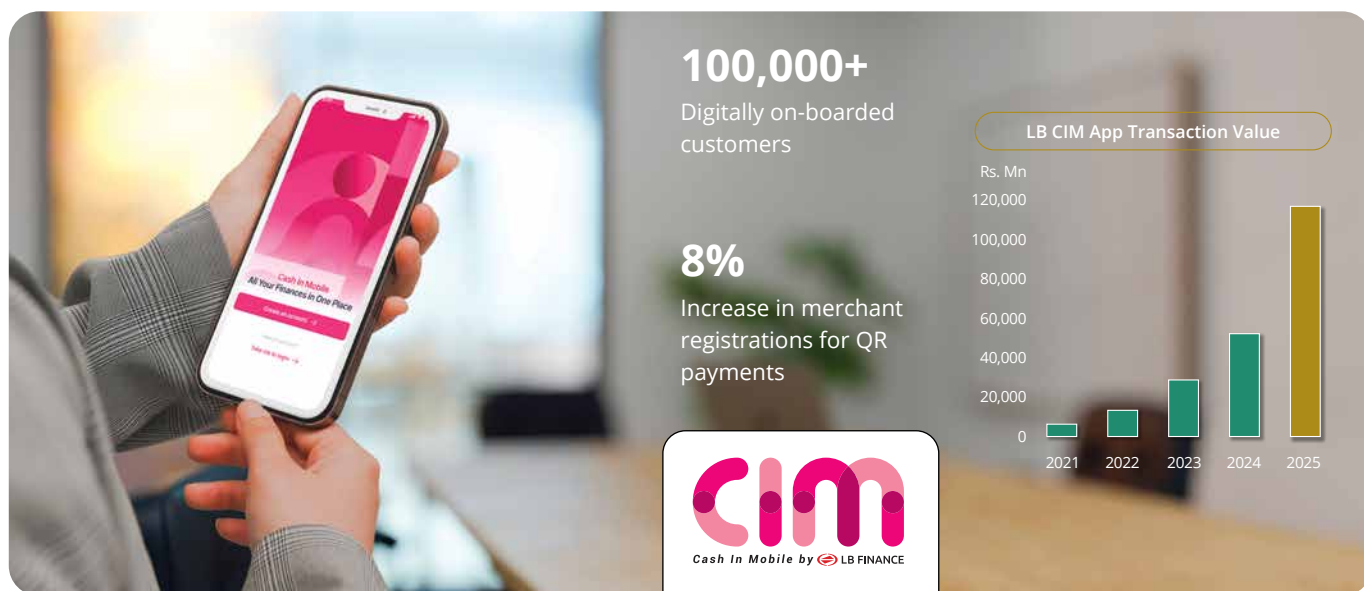


BUILDING SOCIO-ECONOMIC PROSPERITY

Digital Access: Breaking Barriers with Innovation

From digital financing to AI-driven lending, we are at the forefront of next-generation digitalised financial services, ensuring seamless, 24/7 access to financial transactions. Our digital platforms empower customers to manage their finances anytime, anywhere, enhancing convenience and accessibility.

In 2019, we entered the mobile digital transaction space with the launch of the LB CIM app, introducing two dedicated platforms: one for individual customers and another tailored for merchants, enabling secure and efficient digital transactions for a range of financial needs.



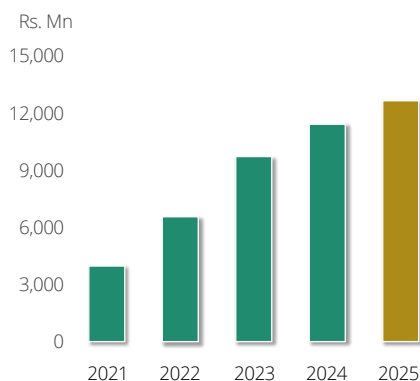
Strengthening the Economy Through Responsible Contributions

As a leader in the Non-Banking Financial Institution (NBFI) sector, we are proud to be the highest taxpayer in the industry. Our contributions are vital to Sri Lanka's economic growth, supporting essential public services and strengthening financial stability.

Rs. 12,645 Mn

Total tax paid to the Government during the year

Tax Paid to the Government

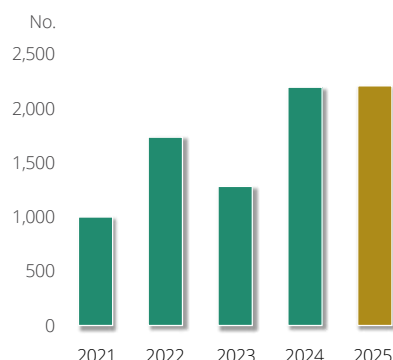


2 JOB CREATION

From Employment to Empowerment

We empower entrepreneurs to build businesses and create jobs. Our commitment to economic growth extends far beyond our own Company, impacting communities across Sri Lanka.

New Employment Opportunities



4 EMPOWERING WOMEN

Financial independence is a key driver of social progress, and we are leading the charge in empowering women entrepreneurs and professionals. Our targeted programmes provide customised financial support, mentorship, and networking opportunities, empowering women-owned businesses to thrive and achieve significant growth.

Rs. 84 Bn

Gold Loans granted to women entrepreneurs

2,090

Women representation in workforce

Rs. 374 Mn

LB CIM Business and Personal Loans disbursed to women entrepreneurs

10,289

Number of vehicle financing facilities granted to women

3 ECONOMIC VALUE CREATION

Economic Value Creation

At LBF, we measure success by more than profit. We measure it by the real economic value we create.

Our Economic Value Added (EVA) and Market Value Added (MVA) reflect our commitment to sustainable wealth creation for all stakeholders.

Our EVA and MVA demonstrate our commitment to generating wealth beyond financial transactions, ensuring long-term prosperity for shareholders, employees, and customers.

Economic Value Added (EVA)

	2024/25	2023/24
For the year ended 31st March	Rs. million	Rs. million
Invested Equity		
Equity owner's funds	51,266.00	43,626.07
Add: Cumulative loan loss provision/provision for impairment	7,112.63	7,309.25
	58,378.63	50,935.32
Earnings		
Profit attributable to shareholders	10,805.63	9,563.64
Add: Loan losses and provisions/impairment provision	(256.24)	373.24
	10,549.40	9,936.87
Economic cost % (Average Treasury Bill rate plus 2% risk premium)	11.51	16.80
Economic cost	6,291.02	8,140.42
Economic value added	4,258.38	1,796.45

Market Value Added (MVA)

	2024/25	2023/24
For the year ended 31st March	Rs. million	Rs. million
Market capitalisation		
Market value of equity	47,925.94	34,794.79
Less: Equity owners' funds		
Total equity owners' funds	51,266.00	43,626.07
Market value added/(destroyed)	(3,340.06)	(8,831.28)

By expanding financial access and providing crucial skills development, we are empowering women to become economic powerhouses, creating a ripple effect of job creation, stability, and transformative economic change across communities.

LBF'S IMPACTFUL SOCIO-ECONOMIC FOOTPRINT

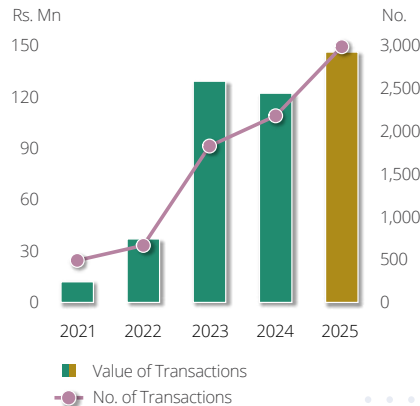
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FOREIGN CURRENCY EXCHANGE

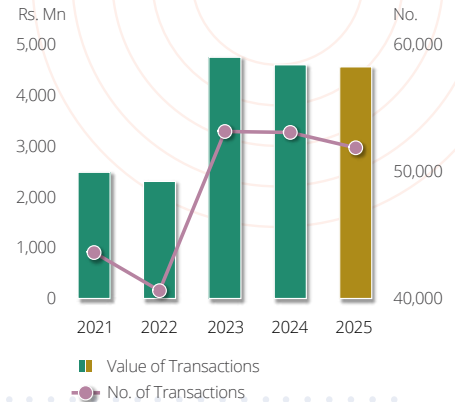
LBF leverages its position as a principal agent for Western Union Money Transfer systems, to increase the volume of foreign currency inflows to the country.



Foreign Exchange Transactions



Western Union Transactions



6

RURAL DEVELOPMENT

LBF supports the development of provincial economies via its island-wide branch network. In line with efforts to provide equal access to all Sri Lankans, our most recent branch expansion strategy has focused on reaching out to customers in the North and East regions of Sri Lanka.

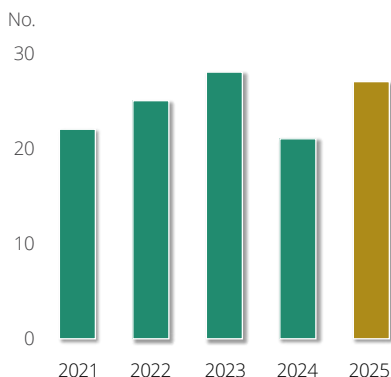


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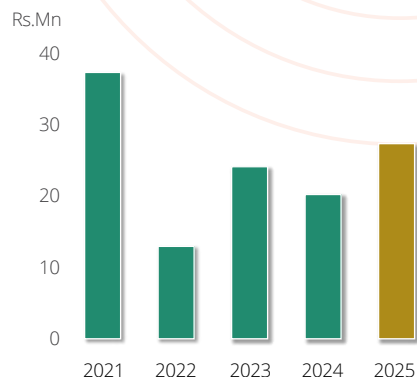
SUPPORTING COMMUNITIES

Our commitment extends beyond financial contributions to uplifting communities through impactful social development programmes. Our strategic CSR initiatives focus on education, healthcare, financial literacy, and environmental sustainability, ensuring our growth benefits society as a whole.

No. of CSR Projects



Investment in CSR Projects



AWARDS AND ACCOLADES



1

NATIONAL ICT AWARDS NBQSA 2024

Data Analytics Technology
of the Year - **Winner**

In-House (Non ICT Company)
Category - **Merit**

"Automated Gold Loan Higher Advance
Granting"

In-House (Non ICT Company)
Category - **Merit**

"Eclipse RMV (Registrar of Motor
Vehicles) Solution"

In-House (Non ICT Company)
Category - **Merit**

"Eclipse Deposit Management Solution"

2

DIGITAL TRUST AWARDS 2024

Technology Resilient Company of
the Year 2024 - **Merit**

Financial Sector

3

SAFA

Best Presented Annual Report
Awards Integrated Reporting
Awards and SAARC Anniversary
Awards for Corporate Governance
Disclosures

- **Bronze Award**

Financial Services Sector

4

TAGS AWARDS 2024

Finance Companies, Leasing
Companies & Other Financial
Institutions - **Gold**

5

CMA EXCELLENCE IN INTEGRATED REPORTING AWARDS 2024

Best Integrated Report - **Winner**

Finance & Leasing Sector

Five Excellent Integrated Reports

6

LANKAPAY TECHNNOVATION AWARDS 2025

Most Popular Digital Payment
Product - **Gold**

(Private Commercial Banks and Non-
Bank Financial Institutions Category -
Internet and Mobile Banking)

7

LMD

Most Respected Entities in Sri Lanka

- **Sector Winner**

Finance & Leasing Category 2024

8

ICSDB EXCELLENCE AWARDS - 2024

In-House Implementations

- **Merit Award**

9

NATIONAL PROJECT MANAGEMENT EXCELLENCE AWARDS 2024

Best Managed Project in Banking &

Financial Services Sector - **Silver Award**

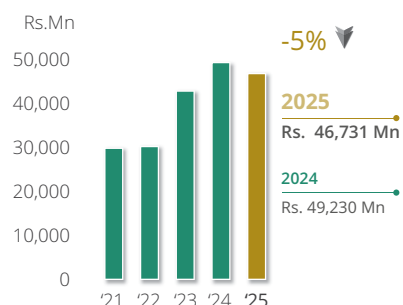
FINANCIAL HIGHLIGHTS

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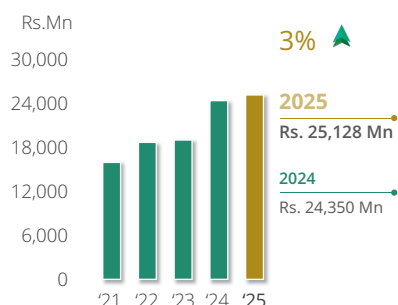


	Company				Group		
Indicator		2024/25	2023/24	Change (%)	2024/25	2023/24	Change (%)
Operating Results							
Income	Rs. Million	46,730.95	49,230.09	(5.08)	47,156.26	49,635.77	(5.00)
Interest Income	Rs. Million	41,815.46	45,729.85	(8.56)	42,201.90	46,102.50	(8.46)
Net Interest Income	Rs. Million	25,128.08	24,350.35	3.19	25,418.19	24,641.87	3.15
Profit before Taxation (PBT)	Rs. Million	16,341.67	15,180.21	7.65	16,412.68	15,334.43	7.03
Profit after Taxation (PAT)	Rs. Million	10,805.63	9,563.64	12.99	10,861.93	9,707.01	11.90
Financial Position							
Total Assets	Rs. Million	240,890.24	202,176.51	19.15	241,984.41	203,147.89	19.12
Loans and Receivables	Rs. Million	197,766.69	161,291.49	22.61	199,271.05	162,521.73	22.61
Due to Depositors	Rs. Million	138,496.87	122,808.12	12.78	138,823.90	123,034.55	12.83
Borrowings	Rs. Million	42,417.09	27,193.41	55.98	42,805.11	27,447.26	55.95
Equity	Rs. Million	51,265.99	43,626.07	17.51	51,590.15	43,911.26	17.49
Investor Information							
Market Price per Share	Rs.	86.50	62.80	37.74	N/A	N/A	-
Market Capitalisation	Rs. Million	47,925.94	34,794.79	37.74	N/A	N/A	-
Net Asset Value per Share	Rs.	92.53	78.74	17.51	93.11	79.25	17.49
Earning per Share (EPS) Basic	Rs.	19.50	17.26	12.97	19.60	17.53	11.79
Earning per Share (EPS) Diluted	Rs.	19.50	17.26	12.97	19.60	17.53	11.79
Dividend per Share (DPS)	Rs.	6.50	5.75	13.04	N/A	N/A	-
Dividend Yield	%	7.51	9.16	(18.01)	N/A	N/A	-
Dividend Payout Ratio	%	33.33	33.31	0.06	N/A	N/A	-
Statutory Ratios							
Core Capital to Risk Weighted Assets Ratio (Tier I) (Minimum 10%)	%	30.45	31.45	(3.18)	30.37	31.59	(3.86)
Total Capital to Risk Weighted Assets Ratio (Tier I & II) (Minimum 14%)	%	31.31	32.19	(2.73)	31.38	32.33	(2.94)
Equity to Deposits (Minimum 10%)	%	37.02	35.52	4.21	37.16	35.69	4.12
Liquidity Ratio	%	20.01	21.02	(4.80)	19.98	21.21	(5.80)
Other Ratios							
Return on Assets (ROA)	%	4.88	4.97	(1.81)	4.88	5.03	(2.98)
Return on Equity (ROE)	%	22.77	23.40	(2.69)	22.72	23.57	(3.61)
Net Interest Margin (NIM)	%	12.22	13.72	(10.93)	12.16	13.68	(11.11)
Cost to Income	%	32.58	31.13	4.66	33.05	31.74	4.13
Loan to Deposits	Times	1.43	1.31	8.72	1.44	1.32	8.67
Gross Non-Performing Loans Ratio (Gross NPL)	%	2.25	3.54	(36.44)	2.29	3.60	(36.39)
Net Non-Performing Loans Ratio (Net NPL)	%	(1.22)	(0.79)	54.43	(1.19)	(0.74)	60.81
Provision Coverage Ratio	%	154.02	122.42	25.81	151.84	119.79	26.75
Total Impairment as a Percentage of Gross Loans and Receivables	%	3.47	4.34	(20.05)	3.48	4.50	(22.67)

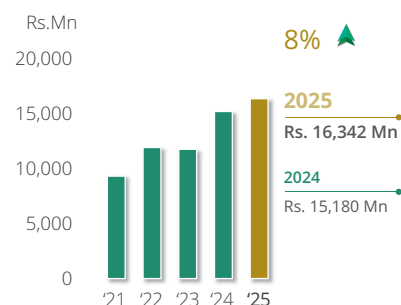
Income



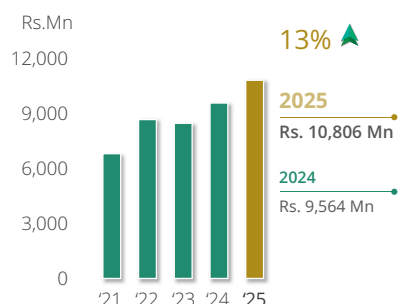
Net Interest Income



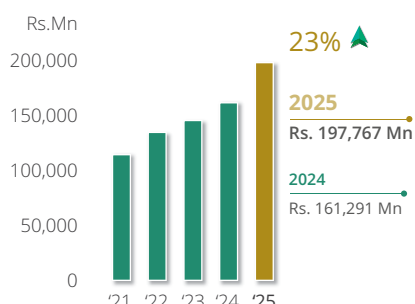
Profit before Tax



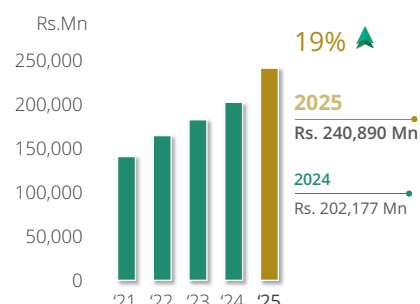
Profit after Tax



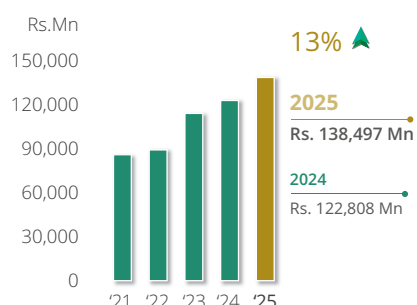
Loans and Receivables



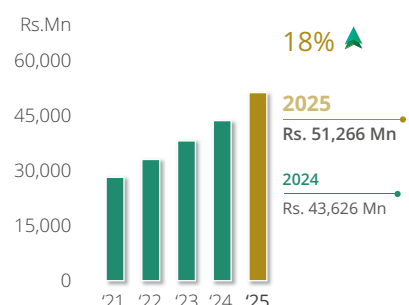
Total Assets



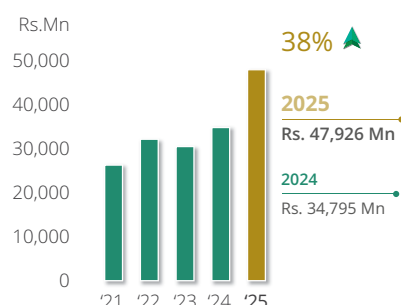
Due to Depositors



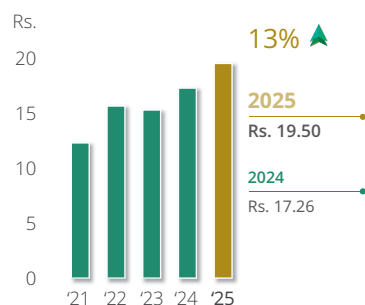
Equity



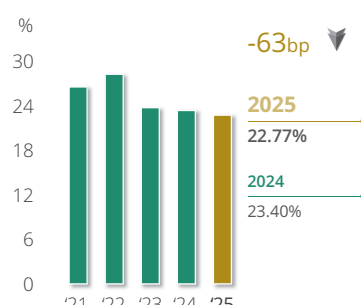
Market Capitalisation



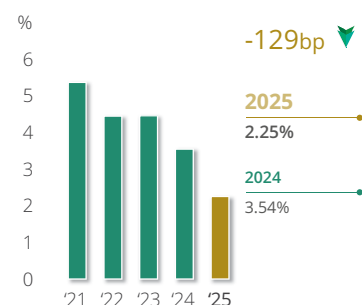
Earnings per Share (EPS)



Return on Equity (ROE)



Gross NPL Ratio



NON-FINANCIAL HIGHLIGHTS

<IR 4F>



GRI: 201-1, 305-4



	Measurement	2024/25	2023/24	Related Capital
ECONOMIC				
Economic value created	Rs. Mn	4,258.38	1,796.45	<u>FC</u>
Economic value distributed to:				
Depositors and lenders	Rs. Mn	16,432.58	21,144.19	<u>SRC</u>
Employees	Rs. Mn	5,124.55	4,353.25	<u>HC</u>
Government	Rs. Mn	10,145.77	9,485.08	<u>SRC</u>
Shareholders	Rs. Mn	3,601.37	3,185.83	<u>SRC</u>
ENVIRONMENTAL				
Our footprint				
Total carbon footprint	tCO ₂ e	36,934.07	3,982.90	<u>NC</u>
Scope 1 emissions	tCO ₂ e	2,711	278	<u>NC</u>
Scope 2 emissions	tCO ₂ e	2,241	2,199	<u>NC</u>
Scope 3 emissions	tCO ₂ e	31,981	1,506	<u>NC</u>
Total carbon footprint per Rs. Million of profit	tCO ₂ e	3.41	0.41	<u>NC</u>
Resource efficiency				
Solarised branches	Number	40	26	<u>NC</u>
Electricity saving through solar power generation	kWh	122,472.00	79,606.80	<u>NC</u>
Paper recycled	kg	52,604.00	20,109.00	<u>NC</u>
Trees saved from recycling	Number	894.00	342.00	<u>NC</u>
Trees saved from digital operations	Number	440	-	<u>NC</u>
Water consumption	m ³	48,514	44,908	<u>NC</u>
Water consumption per Rs. Million of profit	m ³	4.49	4.69	<u>NC</u>
Energy consumption	GJ	55,714.08	16,852.95	<u>NC</u>
Energy per Rs. Million of profit	GJ	5.16	1.76	<u>NC</u>
Green financing				
Green financing portfolio	Rs. Bn	7.35	5.05	<u>NC</u>
Green financing facilities facilitated during the year	Number	2,716	1,597	<u>NC</u>
Environmental stewardship				
Environment related projects	Number	9	3	<u>NC</u>
Trees planted/ distributed	Number	375	8,200	<u>NC</u>
SOCIAL				
Employees				
Total employees	Number	4,407	4,132	<u>HC</u>
New recruits during the year	Number	2,207	2,194	<u>HC</u>
Investments in training and development	Rs. Mn	21.70	23.22	<u>HC</u>
Training programmes carried out	Number	130	68	
Total training hours	Hours	53,845	43,677	<u>HC</u>
Average training hours per employee	Hours	5.75	5.67	<u>HC</u>
Staff remuneration and benefits	Rs. Mn	4,902.96	4,095.93	<u>HC</u>
Internal staff promotions	Number	1,145	1,037	<u>HC</u>
Staff retention ratio	%	56	58	<u>HC</u>
Gender diversity ratio (Male : Female)	Ratio	1:0.90	1:0.85	<u>HC</u>

	Measurement	2024/25	2023/24	Related Capital
Customer				
Total customer base	Number	850,000+	800,000+	SRC
Customer financial solutions	Number	34.00	33.00	SRC
Total branches/ Total outlets	Number	216	200	MC
CDM machines	Number	24	24	MC
Branches outside Western province	Number	128	117	MC
New outlets opened	Number	10	8	MC
Brand ranking (Brand Finance)	Number	20	28	IC
Credit rating (Fitch Rating)	Rating	A-(lka) (Stable Outlook)	BBB+(lka) (Stable Outlook)	IC
CIM app downloads	Number	200,000+	100,000+	IC
CIM app transaction volume growth	%	124	82	IC

Community				
Community development programmes	Number	18	18	SRC
Staff volunteered hours	Hours	7,552	7,132	SRC
Investment in CSR projects	Rs. Mn	27.35	20.20	SRC

GOVERNANCE

Board composition & sub-committees

Total directors	Number	12	10	HC
1. Female	Number	3	3	HC
2. Male	Number	9	7	HC
Independent Non-Executive directors	Number	5	3	HC
Board sub-committees	Number	7	7	HC

Skill development programmes

Board level trainings	Number	9	1	HC
Leadership and motivational programmes	Number	12	4	HC



STRATEGIC JOURNEY

Our journey has been shaped by the unwavering support of our customers, shareholders, employees, business partners, regulators, and the wider community. Each has been an essential piece of the puzzle, forming the foundation of who we are today one of the most recognized and largest financial institutions in the country.

Together, we have climbed mountains and reached remarkable milestones. Through challenges and change, we stood as one family growing, learning, and persevering. As we celebrated this golden milestone, we reflected on the countless lives we've touched those who have given us purpose and inspired us to give back.

This year, we bring you stories that represent our Mosaic of Strength individual experiences and shared triumphs that embody the spirit of resilience, unity, and progress. These are not just achievements of the past, but inspirations lighting our path forward.

The Beginning

Established as a private Company on 30th May 1971 with its registered office at No. 101, Vinayalankara Mawatha, Colombo 10. The majority shareholding of 94.9% was held by Lewis Brown & Company Limited.

1971 - 1981

2012-2015

Excellence and Innovation

Moved to our new corporate office located at Dharmapala Mawatha, Colombo 03

Introduced LB Savings, Pay Hub facility, and VISA shopping card

Largest expansion drive within the industry with 20 new outlets

Recorded the largest deposit base among the NBFI sector

Global Banking and Finance Review UK awarded us as the 'Best Retail Finance in Sri Lanka for 2013'

Opened first premier branch in Mount Lavinia

Became the 1st finance company in Sri Lanka to comply with ISO 27001:2013

Integration of the Interbank payment system (SLIPS)

Opened the 100th branch in Jaffna

Became the first carbon neutral finance institution in Sri Lanka

Ranked 26 among the top 100 brands in the country by Brand Finance

1982 - 2001

Early Expansion

Changed its status as a public company

Vanik Incorporation Limited's shareholding increased to 83.26%

Listed on the Colombo Stock Exchange

Commenced Gold Loan

First Gold Loan center opened in Maradana

Moved Head Office to Prof. Stanley Wijesundera Mawatha, Colombo 7

Introduced lottery-based deposit scheme 'Siya Savi'

2002-2011

Maturity and Leadership

Mr. K D D Perera took over a stake of 58.74% to turn around the loss-making Company into a profitable venture

Registered in terms of Section 2 of the Finance Companies Act No. 78 of 1988

The Company re-registered under the new Companies Act No. 07 of 2007

Developed a new website with online payment and vehicle trade-in facility

Profits doubled and reached over

Rs. 1 Billion for the first time in history

North and East market presence for the first time

Became a part of Vallibel One PLC umbrella which is a diversified company

Upgraded the ratings from BBB+/P2 to A-/P2 by RAM Ratings (Lanka) Limited

Company has emerged as the second largest Licensed Finance Company (LFC) in Sri Lanka

Introduced Global Reporting Initiative (GRI) to the Annual Report

2025

A Mosaic of Strength

Achieved highest ever profit after tax of Rs. 10.8 Billion

Enhanced LB CIM app with the ability to open savings accounts, FD flex option, withholding tax certificate request option, biometric and security upgrades, and a refreshed user interface and user experience design

Voluntary adoption of SLFRS S1 and S2 standards

First NBFi in Sri Lanka to calculate financed emissions and obtain a verification opinion

Became a member of UN Global Compact Network Sri Lanka

Initiated the construction of the first green branch in Chilaw

LB Microfinance Myanmar commenced operations in the Yangon region

2016 - 2017

Sustainability Meets Technology

Successfully completed 45 years in the finance industry with a profit after tax growth of 70% (Rs. 3.7 Billion)

Launched LB e-connect online platform to Savings customers

Obtained MoneyGram agencyship for international money transfer

Integrated with Common Electronic Fund Transfer Switch (CEFTS)

Exceeded Rs. 100 Billion asset base

Launched LB Gift Store

2020 - 2021

Smarter, Faster, Automated

Chatbot was introduced to the corporate website and social media platforms

Automation of the credit verification process

Automation of the insurance renewal process

Fully automated risk assessment scorecard for branches and Gold Loan centres



2018 - 2019

Bold as a Brand

Upgraded the ratings from BBB+/P2 to A-/ P2 by RAM Ratings (Lanka) Limited

Mortgage Loan product was re-branded and re-launched as 'Mulgala'

Launched of 'Krutha Hastha' senior citizens loan scheme

First overseas expansion of LB Finance to Myanmar

Moved to cloud-based IT platform

Ranked among the top 20 brands in Sri Lanka by Interbrand

2022 - 2024

The Digital Era

Tied up with DRP to fast-track digital financial services

Partnered with WEBXPAY to promote 'CIM' business loans to MSMEs

Installation data visualisation and modelling software

Further strengthened the ISO 27001 information security standard

Tied up with FinCSIRT (Computer Security Incident Response Team for Sri Lanka's financial sector)

First NBFi in Sri Lanka to launch an Annual Report micro-site

Amalgamation of Multi Finance PLC

Introduced a cookie policy to LBF's newly updated corporate website

Integration with CRIB backend

Updated the corporate website with the inclusion of AI-based digital imagery

Opened 200th branch in Pallai

Ranked 16 among the top 40 corporates by Business Today

A SNAPSHOT OF 2024/25



LB Finance's Glamorous
අවුරුදු කුමරා සහ කුමරිය 2024



CIM app Relaunch Ceremony

April

May



LB Finance මෙවසරේ කුලපිය 2024



NLP Practitioner Certification
Ceremony



Boot Camp 2024



June

July



Blood Donation Campaign 2024



Annual Promotion Ceremony
2024



LB Pinnacle Club and Silver
Circle Awards

August

September



Opening of LB Finance
Premier Branch - Panadura



LB Finance's Great Debater 2024 -
Northern and Eastern Regions



LB Finance 'Ran Waram' with Muthukaruppan Chettiar



October

November



LB Got Talent Spotlight 2024



LB Microfinance Myanmar 7th
Anniversary



Graduation Ceremony of LCES
Tailoring School

December

January



DFS Catalyst Awards 2025



LB Northern Stars 2025



LB Got Sweetest Pongal Fiesta
2025



Collaboration with MEPA

February

March



LankaPay Technnovation
Awards 2025



LB Finance Al Salamah Annual
Ifthar Gathering 2025